

₹500 a month *can become ₹17.6 lakh.*

The full numbers from my SIP video, plus how to start your own SIP this week.

You commented "PDF", so here it is. In the video I showed what a small monthly SIP can grow into over 30 years. This guide has every number from that video, how the maths works, what changes if you start later or invest more, and the exact steps to start. No finance degree needed. I didn't have one either.

- 1 Small amounts work.** ₹500 a month for 30 years is ₹1.8 lakh from your pocket, and about ₹17.6 lakh at the end.
- 2 Time does most of the work.** In the last 10 years, the money grows more than in the first 20 put together.
- 3 Starting takes 15 minutes.** PAN, Aadhaar, a bank account and a mobile number. That's all.

START WITH

₹500

TIME

30 yrs

ASSUMED RETURN

12%

MONEY GROWS

9.8x

What your SIP *could become*

Every row is a monthly SIP running for 30 years (360 months) at an assumed 12% a year. Same time, same return. Only the monthly amount changes.

MONTHLY SIP	YOU INVEST	COULD BECOME	WEALTH GAINED	GROWTH
₹500	₹1,80,000	₹17.6 lakh	₹15.8 lakh	9.8x
₹1,000	₹3,60,000	₹35.3 lakh	₹31.7 lakh	9.8x
₹2,500	₹9,00,000	₹88.2 lakh	₹79.2 lakh	9.8x
₹5,000	₹18,00,000	₹1.76 crore	₹1.58 crore	9.8x
₹7,500	₹27,00,000	₹2.65 crore	₹2.38 crore	9.8x
₹10,000	₹36,00,000	₹3.53 crore	₹3.17 crore	9.8x

My own calculation using the standard SIP formula (monthly compounding, investment at the start of each month), rounded. This is the same method most online SIP calculators use.

THE ONE THING TO NOTICE

Out of ₹17.6 lakh, only ₹1.8 lakh is money you put in. The other ₹15.8 lakh is growth. That's compounding.

ABOUT THE RETURN IN THE VIDEO

In the video I said 12.5%. The figures on screen actually work out at 12% a year, so they're on the safer side. At 12.5%, ₹500 a month would be closer to ₹19.7 lakh. Either way, treat these as illustrations, not promises. Market returns change every year.

Where the *magic* happens

Here's a ₹1,000 SIP, checked every 5 years. Look at how slow the start is, and how fast the end is.

AFTER	YOU'VE INVESTED	VALUE	GROWTH
5 years	₹60,000	₹82,486	1.4x
10 years	₹1,20,000	₹2,32,339	1.9x
15 years	₹1,80,000	₹5,04,576	2.8x
20 years	₹2,40,000	₹9,99,148	4.2x
25 years	₹3,00,000	₹18,97,635	6.3x
30 years	₹3,60,000	₹35,29,914	9.8x

₹1,000 a month at an assumed 12% a year. Rounded.

Between year 20 and year 30, the value goes from about ₹10 lakh to ₹35 lakh. You only added ₹1.2 lakh in those 10 years. The rest is the money you already had, growing on itself.

1 Why starting early matters so much

₹10,000 SIP FOR	YOU INVEST	COULD BECOME
10 years	₹12 lakh	₹23.2 lakh
20 years	₹24 lakh	₹99.9 lakh
30 years	₹36 lakh	₹3.53 crore

Assumed 12% a year. Rounded.

THIS TOOK ME A WHILE TO GET

Going from 20 to 30 years adds only ₹12 lakh of your money, but the end value goes up by more than 3.5 times.

Return, and the *step-up*

You can't control the market. You can control how long you stay, and whether your SIP grows with your salary.

2 Same SIP, different returns

₹5,000 a month for 30 years (₹18 lakh invested), at different yearly returns:

YEARLY RETURN	COULD BECOME	ROUGHLY LIKE
8%	₹75 lakh	A conservative, debt-heavy mix
10%	₹1.14 crore	A balanced mix of equity and debt
12%	₹1.76 crore	The assumption used in the video
12.5%	₹1.97 crore	A slightly higher equity assumption

Illustrative only. Returns are not guaranteed and vary a lot from year to year.

3 The step-up SIP

A step-up SIP increases your monthly amount by a fixed % every year, usually when your salary goes up. Most fund houses and apps let you set this once and forget it.

START WITH	PLAN	YOU INVEST	COULD BECOME
₹500	Same amount for 30 years	₹1.8 lakh	₹17.6 lakh
₹500	Increase by 10% every year	₹9.9 lakh	₹44.2 lakh
₹1,000	Same amount for 30 years	₹3.6 lakh	₹35.3 lakh
₹1,000	Increase by 10% every year	₹19.7 lakh	₹88.3 lakh

Assumed 12% a year. Rounded.

A SHORTCUT I USE NOW

Every time you get a hike, increase your SIP by at least half the hike amount. You won't miss money you never got used to spending.

What a SIP *actually* is

SIP stands for Systematic Investment Plan. It isn't a product. It's a way of investing in a mutual fund: a fixed amount, on a fixed date, every month.

4 How it works

STEP	WHAT HAPPENS
Every month	A fixed amount is auto-debited from your bank on the date you choose
That money	Buys units of the mutual fund at that day's price (NAV)
When prices fall	The same amount buys more units
When prices rise	Your existing units are worth more
Over the years	Your average buying price evens out. This is called rupee cost averaging

5 Types of funds people use for long-term SIPs

FUND TYPE	WHAT IT DOES
Index fund	Copies an index like the Nifty 50. Low cost, no fund manager picking stocks
Flexi cap fund	Invests across large, mid and small companies as the manager sees fit
Large cap fund	Mostly India's 100 biggest companies. Steadier than mid and small caps
ELSS	Equity fund with a 3-year lock-in and an 80C tax benefit (old regime)
Hybrid fund	A mix of equity and debt. Smoother ride, usually lower long-term growth

DIRECT PLAN

- Bought directly from the fund house or a direct-plan app
- Lower expense ratio, so more of the return stays with you
- Good if you're comfortable choosing on your own

REGULAR PLAN

- Bought through a distributor or agent
- Slightly higher expense ratio (includes their commission)
- Useful if you want someone to guide you

Your first SIP, *step by step*

The whole thing can be done on your phone in one sitting. Keep your PAN, Aadhaar and bank details ready.

6 What you need

ITEM	WHY
PAN card	Compulsory for any mutual fund investment
Aadhaar	For online KYC, linked to your mobile number for OTP
Bank account	For the monthly auto-debit, in your own name
Mobile and email	Your own is best. SEBI allows only yours or a close family member's (spouse, parent, dependent child)

7 The steps

- 1 Complete your KYC.** Once, online, through any fund house website, a registered investment app or a KYC agency. It takes about 10 minutes with Aadhaar OTP and a selfie or video check.
- 2 Pick where to invest from.** A fund house's own website, MF Central, or a SEBI-registered app or distributor. Choose direct or regular plan.
- 3 Choose your fund.** For a first SIP, many people start with a simple index fund. Check the fund's category, expense ratio and how long it has existed.
- 4 Set the amount and date.** Pick a date a few days after your salary comes in. Turn on step-up if the app offers it.
- 5 Set up the auto-debit.** Approve a UPI AutoPay or e-NACH mandate from your bank. This is what makes it automatic.
- 6 Add a nominee.** It takes a minute, and it saves your family a lot of paperwork later.
- 7 Track it once a year,** not every day. Check the monthly statement from CAMS or KFinTech, or on MF Central.

WHAT FINALLY SETTLED IT FOR ME

Don't wait for the perfect fund or the perfect time. Start with ₹500 this month. You can always increase it or add another fund later.

Keeping more of it, *for longer*

How SIP gains are taxed in equity funds, and the habits that let the numbers in this guide actually happen.

8 How equity fund gains are taxed

HELD FOR	TAX
More than 12 months	Long-term capital gains (LTCG): first ₹1.25 lakh of gains each year is tax-free, the rest taxed at 12.5%
12 months or less	Short-term capital gains (STCG): taxed at 20%
Each SIP instalment	Counted separately. Your January instalment turns long-term the next January
While you stay invested	No tax at all. Tax applies only when you sell

Equity-oriented funds, rates applicable from 23 July 2024. Debt funds are taxed at your slab rate.

A SHORTCUT I USE NOW

If you're in it for the long run, you can sell units worth up to ₹1.25 lakh of gains each financial year and reinvest them. This uses up your tax-free limit every year. It's called tax harvesting.

9 Habits that make it work

- 1 Keep going when markets fall.** Your SIP buys more units at lower prices. Those units do the heavy lifting later.
- 2 Build an emergency fund first,** about 6 months of expenses, so you never have to break your SIP for a surprise bill.
- 3 Step up every year** with your salary, even by a small amount.
- 4 Review once a year.** Check if the fund is still doing its job compared to its category. Don't switch just because of one slow year.
- 5 Match the fund to the goal.** Money needed within 3 years is better kept in safer options. Equity SIPs are for 7 years and longer.

The glossary, *in plain words*

I didn't know half of these when I started. Here's what they mean.

SIP

SYSTEMATIC INVESTMENT PLAN

A fixed amount invested in a mutual fund every month, automatically.

"Maasa maasam auto ah invest aagum."

Mutual fund

POOLED INVESTMENT

Many people's money pooled and invested by a professional fund house.

"Ellaarudaiya panamum serndhu invest aagudhu."

NAV

NET ASSET VALUE

The price of one unit of a mutual fund on a given day.

"Oru unit oda innaikku vilai."

Compounding

GROWTH ON GROWTH

Your returns start earning returns, so growth speeds up over time.

"Laabathukkum laabam varum."

Rupee cost averaging

AVERAGING YOUR BUY PRICE

Buying every month means you buy more when cheap, less when costly.

"Vilai kuranja, adhigama units kidaikkum."

Step-up SIP

TOP-UP SIP

Your SIP amount goes up by a fixed % every year.

"Salary yera yera, SIP um yerum."

KYC

KNOW YOUR CUSTOMER

One-time ID check before you can invest. PAN, Aadhaar, selfie.

"Oru dharavai prove panna podhum."

Expense ratio

YEARLY FUND FEE

The % the fund charges each year to manage your money. Lower is better.

"Fund manage panna vaangura fees."

Direct plan

NO-COMMISSION VERSION

Same fund, bought without an agent, so a lower expense ratio.

"Agent illaama, commission illaama."

Index fund

PASSIVE FUND

Simply copies an index like the Nifty 50 instead of picking stocks.

"Top 50 company la ellaathulayum konjam."

e-NACH / UPI AutoPay

AUTO-DEBIT MANDATE

Your permission for the bank to debit the SIP amount every month.

"Bank ae auto ah edukka permission."

LTCG

LONG-TERM CAPITAL GAINS

Profit on units held over 12 months. First ₹1.25 lakh a year is tax-free.

"Oru varusham mela vechirundha laabam."

STCG

SHORT-TERM CAPITAL GAINS

Profit on units sold within 12 months. Taxed at 20%.

"Seekiram vithaa, adhigama tax."

ELSS

EQUITY LINKED SAVINGS SCHEME

Tax-saving equity fund with a 3-year lock-in, under 80C (old regime).

"Tax save panra mutual fund."

CAGR

COMPOUND ANNUAL GROWTH RATE

The average yearly growth rate over a period, with compounding.

"Varushathukku sarasari evlo valarndhadhu."

How the *numbers* were worked out

Every projection in this guide is a calculation, not a prediction. Here's exactly how they were done.

1. SIP projections: standard SIP future value formula, $FV = P \times [((1 + i)^n - 1) \div i] \times (1 + i)$, where P is the monthly amount, i is the yearly return divided by 12, and n is the number of months. Investment assumed at the start of each month. Rounded.
2. Step-up projections: monthly amount increased by 10% at the start of each year, same 12% assumed return.
3. Return assumptions (8%, 10%, 12%, 12.5%) are illustrative. They are not the past or future return of any specific fund.
4. Capital gains tax: Income Tax Act as amended by the Finance (No. 2) Act, 2024. Equity LTCG at 12.5% above ₹1.25 lakh, STCG at 20%, effective 23 July 2024.
5. KYC and mandate process: SEBI and AMFI investor education material; MF Central (by CAMS and KFinTech).

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific fund or app. I am not a SEBI-registered investment adviser. Mutual fund investments are subject to market risks. Read all scheme-related documents carefully. Returns shown are assumptions and are not guaranteed. Speak to a SEBI-registered adviser before investing.

Started your first SIP? *Tell me the amount* in the comments.

Free to share. Made by Abinash at [@buildwithabinash](#). Send this to a friend who keeps saying "I'll start investing next month."